

INSURANCE AND PENSIONS COMMISSION



HALF YEAR REPORT
FOR
SELF ADMINISTERED PENSION FUNDS

FOR THE HALF YEAR ENDED 30 JUNE 2012

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2.0 Industry Overview

2.1 General

This report is based on 291516 total membership spread across 10 standalone funds, 3 fund administrators and three life assurers who submitted their returns. We take this opportunity to appeal to all fund administrators and standalone funds to submit their quarterly returns timeously to avoid statutory penalties.

The following are challenges facing self administered funds :

- Managing media perception and rebuilding public confidence
- Corporate Governance
- Arrear contributions
- Liquidity
- Depressed Investment Climate
- Compliance with regulatory requirements
- International Financial Reporting Standards
- Asset Liability Matching
- Rising operational costs
- Legislation Shortcomings

2.2 Financial Summary of Self Administered Funds

Item	Standalone Funds			Insurer Administered			Fund Administrators			TOTALS		
	Mar 2012	Jun 2012	%	Mar 2012	Jun 2012	%	Mar 2012	Jun 2012	%	Mar 2012	Jun 2012	%
Arrear Contributions (000)	73,077	18,726	(74)	3,716	1,444	(60)	2,010	5,154	156	78,803	25,324	(69)
Total Contributions (Including Arrears)(000)	95,789	47,973	(50)	11,133	16,810	51	7,002	22,865	267	113,924	87,648	(25)
Total Contributions (Excluding Arrears) (000)	23,613	29,371	24	7,417	15,366	107	4,992	16,789	236	36,023	62,616	74
Total Income (000)	34,026	48,669	43	12,807	18,057	41	8,160	24,754	203	54,993	93,352	70
Total Expenses (000)	6,102	10,383	70	1,035	1,875	81	2,031	8,198	304	9,168	21,148	131
(Expense/Contributions)%	26	35	9	14	12	(2)	41	49	8	25	34	9
(Expense/Total Income)%	18	21	3	8	10	2	25	33	8	17	23	6
Total Assets (000)	823,736	674,012	(18)	160,948	170,149	6	76,640	180,117	135	1,061,310	1,039,926	(2)
Prescribed Assets (000)	6,182	8,367	35	738	976	32	1,120	2,459	120	8,040	11,826	47
Prescribed Asset Ratio (%)	1	1%	0	0	1	-	1	1	-	1	1	-

SECTION A : STAND ALONE FUNDS



3.0 The Number of Standalone Self Administered Pension Funds

This report is based on 10 standalone funds who submitted their returns.(See Table 1,below).

Table 1 : Standalone Self Administered Pension Funds

Fund Name	31 March 2012	30 June 2012
Catering Industry Pension Fund	1	1
Clothing Industry Pension Fund	1	1
Communication and Allied P/Fund	1	1
Construction Industry P/Fund	1	1
Local Authorities Pension Fund	1	*
Mining Industry Pension Fund	1	1
NRZ Pension Fund	1	1
Pentact Pension Scheme	1	*
ZB Financial Holdings P/Fund	1	1
ZESA Pension Fund	1	1
TOTALS	10	8

*Returns not submitted

4.0 Pension Fund Membership

The total fund membership for the period under review was 205 000, a 5% reduction from the previous quarter. The greatest membership was from active members who constituted 61% (56%, March 2012). This is partly attributable to some former members rejoining the workforce to supplement poor pension payouts and reluctance by some members to go on retirement. Just like the previous quarter, the deferred pensioners' constituency came second with 26% of the membership for the quarter ended 30 June 2012. This is mainly due to the diasporas who

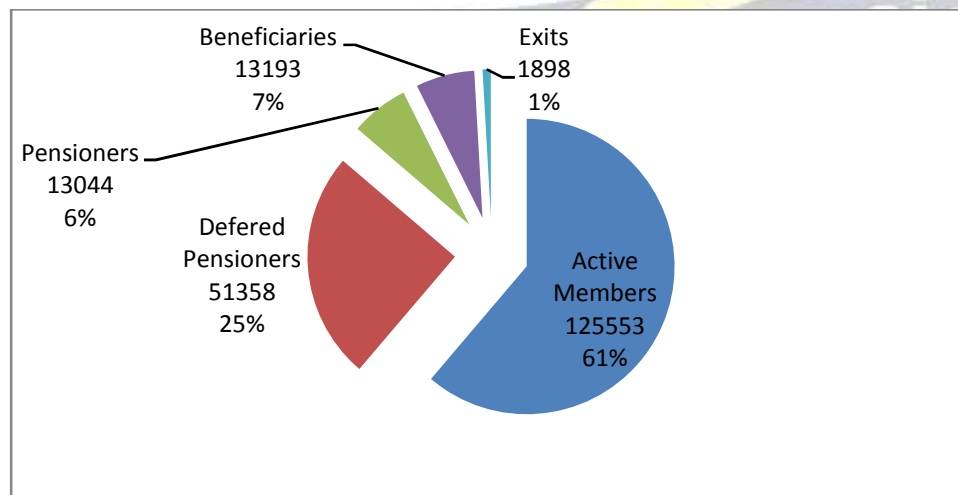
left in search of greener pastures during the economic recession experienced in the last decade and some locals who left formal employment to join the informal sector. The balance of 12% was composed of pensioners and other beneficiaries (See Table 2 and Figure 1, below).

Table2: Membership per Standalone Fund for the half year ended 30 June 2012

Fund Name	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth
Catering IPF	*	15903	-	*	779	-	*	64	-	*	1	-	*	(63)	-	*	16684	-
Clothing IPF	11786	11966	2%	36	117	225%	6706	0	-	0	415	-	0	(62)	-	18528	12436	(33)
CAIPF	3615	3541	(2%)	2375	2354	(1)	971	997	(3%)	3203	3308	3%	(31)	(63)	103%	10133	10137	0
CIPF	39894	49017	23%	5555	5557	0	19	20	5%	69	69	0	(185)	(403)	118%	45352	54260	20%
LAPF	20491	*	*	1	*	*	4260	*	-	7687	*	-	(239)	*	-	32200	*	-
MIPF	30148	30815	2%	40360	40336	-	6361	6106	4%	1062	1067	-	(495)	(1143)	131%	77436	77181	(3%)
NRZ	7204	7184	-	1416	1419	-	5581	5602	-	8099	8087	-	(151)	(135)	(11%)	22149	22157	-
Pentact	4	*	-	0	*	-	0	*	-	0	*	-	0	*	-	4	*	-
ZB FHGPF	926	930	-	806	796	(1%)	140	140	-	176	176	-	(15)	(29)	93%	2033	2013	(1%)
ZESA PF	6145	6197	1%	0	0	-	113	115	2%	69	70	1%	0	0	-	6327	6382	1%
Totals	120213	125553	4%	50549	51358	2%	24151	13044	(46%)	20365	13193	(35)	(1116)	(1898)	70%	216394	205046	(5%)

***Returns not submitted**

Figure 1: Membership for Standalone Funds for the half year ended 30 June 2012



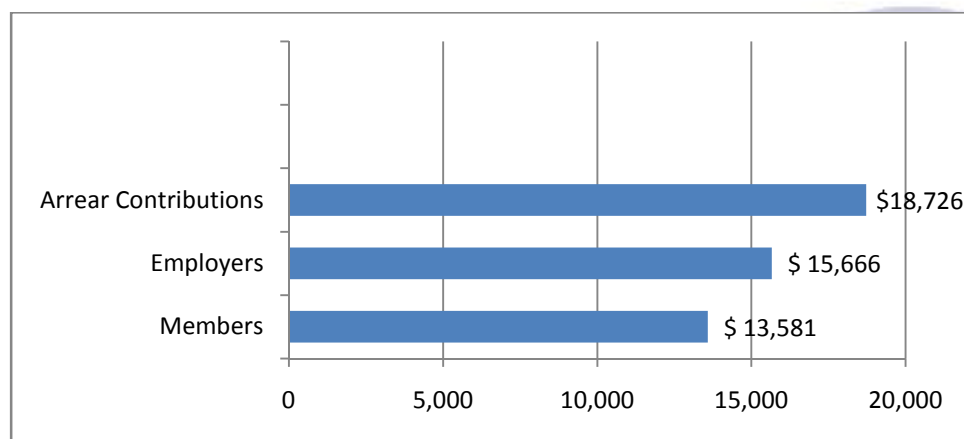
5.0 Contributions

The contribution statistics for the half year ended 30 June 2012 were as illustrated in Table 3 and Figure 2 below.

Table 3: Contributions Statistics per Standalone Fund for the half year ended 30 June 2012

Fund Name	Contributions(000)						Arrear Contributions(000)						Total Contributions(000)		
	Members			Employers			Members			Employers					
	Mar 2012	June 2012	Growth	Mar 2012	June 2012	Growth	Mar 2012	June 2012	Growth	Mar 2012	Jun 2012	Growth	Mar 2012	June2012	Growth
Catering IPF	*	545	-	*	545	-	-	-	-	-	252	-	*	1,342	-
Clothing IPF	202	394	95%	283	552	95%	111	355	220%	155	498	221%	751	1,799	140%
CAIPF	657	1,349	105%	1,971	4,046	105%	-	-	-	1,669	2,279	37%	4,297	7,674	79%
CIPF	421	930	121	421	930	121	-	-	-	-	366	-	842	2,226	163%
LAPF	2,966	-	-	1,069	-	-	-	-	-	53,298	-	-	57,323	-	-
MIPF	3,393	7,224	113%	3,373	7,167	112%	-	-	-	4,594	3,921	(15%)	11,360	18,312	61%
NRZ	941	1,887	101%	-	-	-	-	-	-	9,148	11,055	21%	10,089	12,942	28%
Pentact	257	-	-	668	-	-	-	-	-	-	-	-	925	-	-
ZB FHGPF	182	372	104%	268	555	107%	0	0	-	0	0	-	450	927	106%
ZESA PF	1,808	880	(51)	3,842	1,871	(51)	-	-	-	4,102	-	-	9,752	2,751	(72)
Total	10,827	13,581	25%	11,895	15,666	32%	111	355	220%	72,966	18,371	(75%)	95,789	47,973	(50%)

Figure 2 : Contributions For Standalone Funds for the half year ended 30 June 2012 (000)



For the period under review, fund members contributed \$14million compared to \$34 million or 71% of total contributions paid by employers. However 39% of contributions or \$19million were in contribution arrears.

Some employers deducted but failed to remit contributions as prescribed by the law. In terms of Section 13 of Statutory Instrument 243 of 2006, the employer is required to remit contributions to the fund within 14 calendar days after every month end. The act further states that, "...failure to pay the contributions timeously to the fund shall render the employer liable to pay the contributions together with interest which is currently relates to not less than the fund's bank overdraft rate.

Some of the corrective measures that were employed include meetings with boards of trustees via offsite and onsite visits, engaging parent ministries in the case of parastatals, prescribing payment plans and litigation.

Employers are reminded that pension issues are legally binding and enforceable at law such that it is very important for them to proactively engage the Commission and their respective boards of trustees should funding the scheme become a serious challenge. Subject to offsetting any fund deficits and contribution arrears, the Commission may prudently approve reduction of contribution rates; change over of the scheme type or making the fund paid up among other plausible measures.

6.0 Income and Expenditure

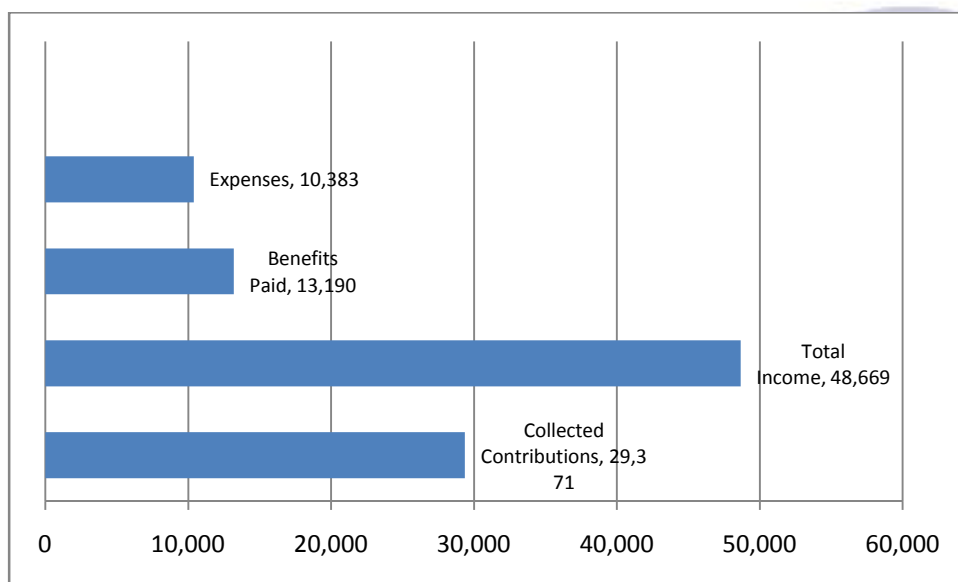
Standalone pension funds reported a 43% increase in their total income to \$49million for the half year ended 30 June 2012. Benefits paid amounted to 27% of total income or \$13million.

The Commission however noted that expenses grew by 70% from \$6million reported for the quarter ended 31 March 2012 to close the period under review at \$10million (See Table 4 and Figure 3 below). This huge escalation of expenses by far outweighed income growth as well as the prevailing low returns on investments in the economy. The Commission will be engaging stakeholders to encourage sustainable expense ratios of about 10% in order to safeguard fair pension fund values for members.

Table 4: Income and Expenditure per Standalone Fund for the half year ended 30 June 2012

Fund Name	Total Contributions(Excl arrears) (000)			Total Income (000)			Total Paid Benefits(000)			Expenses(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth
Catering IPF	*	1,090	-	*	1,872	-	*	267	-	*	962	-	*	88%	-	*	51%	-
Clothing IPF	223	393	76%	677	1,044	54%	125	162	30%	304	521	71%	136%	133%	(3%)	45%	50%	5%
CAIPF	3,325	6,665	100%	5,488	11,195	104%	1,740	3,716	114%	515	1,006	95%	15%	15%	-	9%	9%	-
CIPF	842	1,861	121%	1,133	2,560	126%	62	177	185%	539	1,001	86%	64%	54%	(10)	48%	39%	(9)
LAPF	4,035	*	-	5,013	-	-	1,557	*	-	294	*	-	7%	*	-	6%	*	-
MIPF	6,766	14,391	113%	8,763	19,011	117%	2,470	4,975	101%	3,641	6,927	90%	54%	48%	(6%)	42%	36%	(4%)
NRZ	941	1,887	100%	4,723	9,802	108%	2,058	3,978	93%	335	645	93%	36%	34%	(2%)	7%	7%	-
Pentact	925	*	-	925	-	-	-	*	-	-	*	-	-	-	-	-	-	-
ZB FHGPF	906	1,423	57%	1,083	1,943	79%	67	131	96%	32	80	150%	9%	6%	(3%)	3%	4%	(1%)
ZESA PF	5,650	2,751	(51%)	6,221	3,114	(50%)	56	51	(9%)	442	203	(54%)	8%	7%	(1)	6%	5%	(1%)
Totals	23,613	29,371	24%	34,026	48,669	43%	8,135	13,190	62%	6,102	10,383	70%	26%	35%	9%	18%	21%	3%

Figure 3 : Income and Expenditure for Standalone Funds for the half year ended 30 June 2012 (\$000)



7.0 Fund Assets

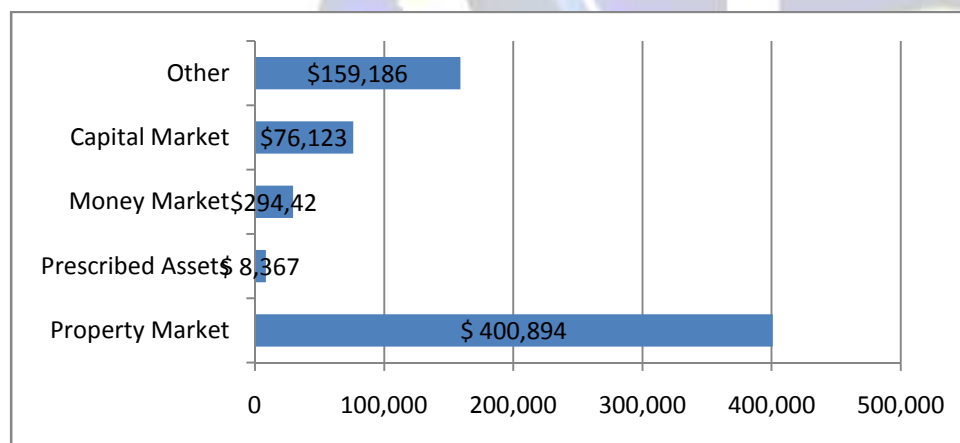
For the quarter ended 30 June 2012, funds held 59% of their assets in properties, a 2% increase from the previous quarter. Capital and money market securities holdings contributed 16% or \$106million (\$120 million, March 2012) whilst other assets made up 21% of total assets. Other assets included pension contribution debtors, loans and mortgages, movable assets among others.

Pension funds must statutorily invest 10% of their assets in prescribed assets. Given an asset base of \$674million for the period under review, full compliance must translate to \$67million investment in prescribed assets compared to the current \$8million subscription. The Commission requires compliance in this regard to avoid statutory penalties. With stability returning to the industry, the Commission will be expecting players to be compliant as matter of priority (See Table 5 and Figure 4, below).

Table 5 : Fund Assets At Market Value per Standalone Fund for the half year ended 30 June 2012

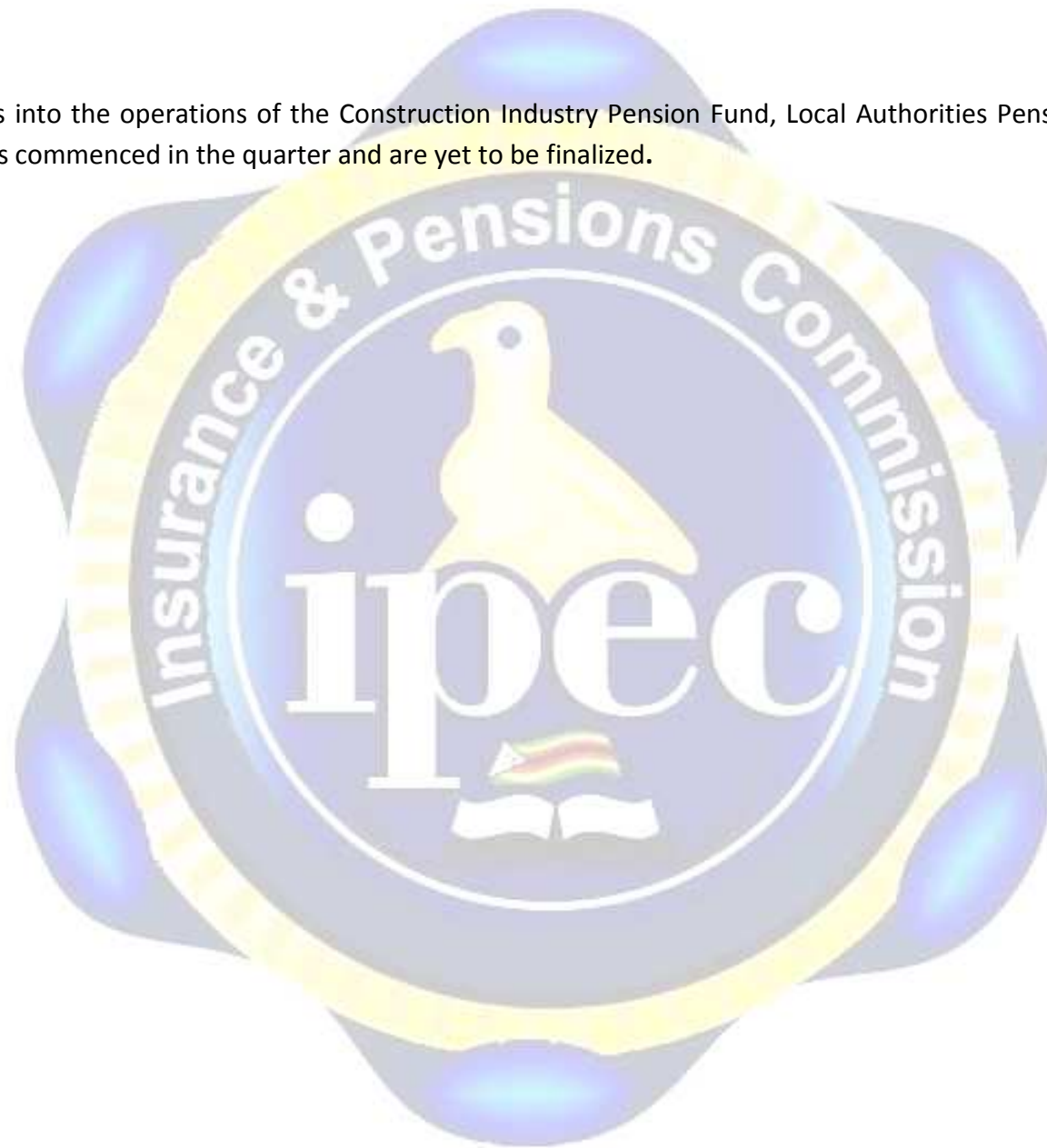
Fund Name	Immovable Property(000)			Prescribed Assets(000)			Money Market Securities(000)			Capital Market Securities(000)			Other(000)			Total(000)		
	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth
Catering IPF	*	4,961	-	*	24	-	*	176	-	*	9,241	-	-	1,246	-	*	15,648	-
Clothing IPF	8,500	8,500	-	0	0	-	774	1,109	43%	3,488	3,449	1%	1,764	1,554	(12%)	14,526	14,612	0
CAIPF	74,240	74,240	0	1,000	1,000	0	879	590	33%	15,547	18,142	17%	16,011	16,992	(6%)	107,677	110,964	3%
CIPF	12,245	12,306	0	0	0	0	0	0	0	2,964	3,706	25%	1,440	1,586	10%	16,649	17,598	6%
LAPF	68,839	*	-	0	*	-	0	*	-	25,005	*	-	56,861	*	-	150,705	*	-
MIPF	84,410	84,410	0	1,000	2,500	150%	7,149	8,609	20%	30,247	31,211	3%	5,712	6,478	13%	128,518	133,208	4%
NRZ	212,635	212,635	0	0	0	-	12,324	12,654	3%	8,927	9,985	12%	130,394	131,626	1%	364,280	366,900	1%
Pentact	0	*	-	0	*	-	0	*	-	5	*	-	209	*	-	214	*	-
ZB FHGPF	2,470	2,470	-	3,940	4,625	17%	0	0	-	5,431	5,215	(4%)	137	151	10%	11,992	12,461	4%
ZESA PF	6,500	6,333	0	242	242	0	3,300	6,480	96%	4,415	4,415	0	14,718	799	(95%)	29,175	18,269	(37%)
Totals	469,839	400,894	(15%)	6182	8367	35%	24426	29442	21%	96029	76123	(21%)	227246	159186	30%	823736	674,012	(18%)

Figure 4: Fund Assets Values for Standalone Funds for the half year ended 30 June 2012\$(000)



8.0 Investigations

Forensic investigations into the operations of the Construction Industry Pension Fund, Local Authorities Pension Fund and Mining Industry Pension Funds commenced in the quarter and are yet to be finalized.



SECTION B: INSURER ADMINISTERED FUNDS

1.0 The Number of Insurer Self Administered Pension Funds

Though we have got 9 registered life assurers, this report covers 3 players (See Table 1, below).

Table 1 : Fund Administrators

Insurer	31 March 2012	30 June 2012	Increase
First Mutual	6	6	-
Old Mutual	23	23	-
Zimnat Life	2	*	-
TOTALS	31	29	(2)

*Returns not submitted

2.0 Pension Fund Membership

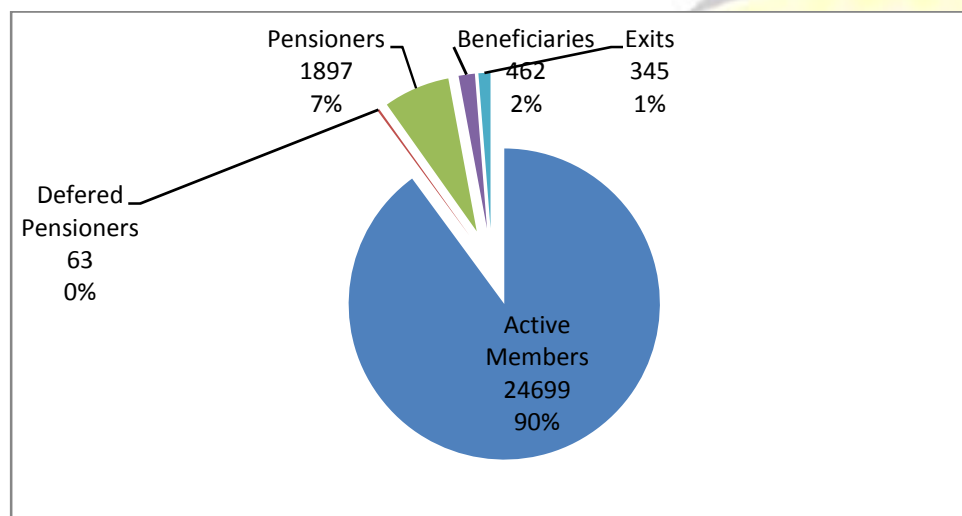
Total fund membership count for the half year ended 30 June 2012 was 27 000, a stagnant growth from the previous quarter fuelled by unchanged membership from actives (90% of total membership), deferred pensioners and beneficiaries. Pensioners and exits registered negative growth rates of 16% and 31% respectively (See Table 2 and Figure 1, below).

Table 2: Membership For Insured Self Administered Pension Funds for the half year ended 30 June 2012

Insurer	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth
First Mutual	2800	2825	1%	0	0	0	5	5	-	1	1	-	(28)	(42)	50%	2778	2789	-
Old Mutual	21752	21874	1%	63	63	-	2246	1892	(16)	473	461	(3)	(475)	(303)	(36)	24059	23987	-
Zimnat Life	*	*	-	*	*	-	*	*	-	*	*	-	*	*	-	*	*	-
Totals	24552	24699	1%	63	63	0%	2251	1897	(16%)	474	462	0	(503)	(345)	(31%)	27843	27466	1%

*Returns not submitted

Figure 1: Membership Statistics for Insured Self Administered Funds for the half year ended 30 June 2012



3.0 Contributions

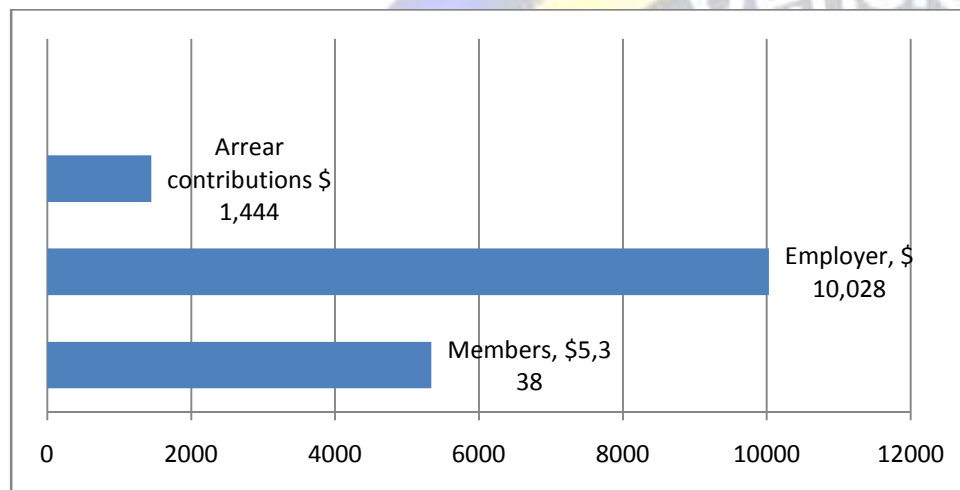
Insurer administered funds' contribution statistics for the period under review are as illustrated in Table 3 below.

Table 3: Contributions Statistics for Insured Self Administered Funds for the half year ended 30 June 2012

Insurer	Contributions(000)						Arrear Contributions(000)						Total Contributions(000)		
	Members			Employers			Members			Employers					
	Mar 2012	June 2012	Growth	Mar 2012	June 2012	Growth	Mar 2012	June 2012	Growth	Mar 2012	Jun 2012	Growth	Mar 2012	June2012	Growth
First Mutual	347	672	94%	510	510	-	-	-	-	346	346	-	1,203	1,528	27%
Old Mutual	2,164	4,666	116%	4,279	9,518	122%	71	-	-	3,299	1,098	(60%)	9,813	15,282	56%
Zimnat Life	46	-	-	71	-	-	-	-	-	-	-	-	117		

Total	2557	5338	109%	4860	10,028	106%	71	-	0%	3645	1444	(60%)	11133	16810	51%
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Figure 2: Contribution Statistics for Insured Self Administered Funds for the half year ended 30 June 2012 (000)



Employees paid 32% of the contributions with the balance of the obligations were met by the employers. However 9% or \$1,4million were arrears where the latter deducted but failed to remit contributions to the pension fund within the mandatory 14 days after every month end.

The Commission will continue to engage stakeholders to reverse this scenario through insisting on adherence to payment plans, handing over employers to the police Serious Fraud Section for prosecution among others.

4.0 Income and Expenditure

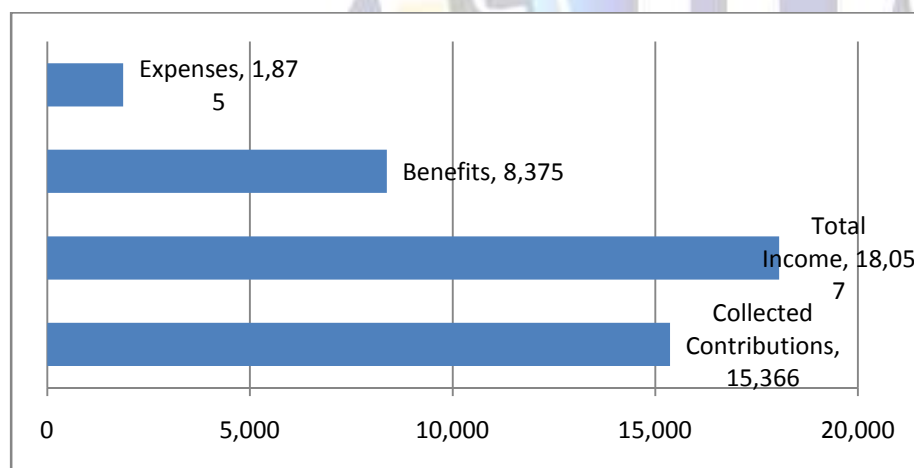
Insurers reported a 41% increase in their total income from \$13million to \$18million for the quarter ended 30 June 2012. Benefit payments were 46% of total income.

Although insurers are the cheapest compared to stand alone funds and administrators, the Commission is greatly concerned that expenses outweighed income streams by 40% from figures reported in the previous quarter (See Table 4 and Figure 3 below). This is a huge jump given the prevailing low returns on investments in the economy. The Commission believes expense ratios of not more than 10% protect fair pension fund values for members.

Table 4: Income and Expenditure per Insurer for Self Administered Funds for the half year ended 30 June 2012

Insurer	Total Contributions(Excl arrears) (000)			Total Income (000)			Total Paid Benefits(000)			Expenses(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth
First Mutual	857	1,182	38%	787	1,112	41%	44	76	73%	*	*	-	-	-	-	-	-	-
Old Mutual	6,443	14,184	120%	11,889	16,945	43%	4,478	8,299	85%	993	1,875	89%	15%	13%	(2%)	8%	11%	3%
Zimnat Life	118	*	-	131	*	-	46	*	-	42	*	-	36%	-	-	32	-	-
Totals	7,418	15,366	107%	12,807	18,057	41%	4,568	8,375	83%	1,035	1,875	81%	14%	12%	(2%)	8%	10%	2%

Figure 3: Income and Expenditure for Insured Self Administered Funds for the half year ended 30 June 2012 \$ (000)



5.0 Fund Assets

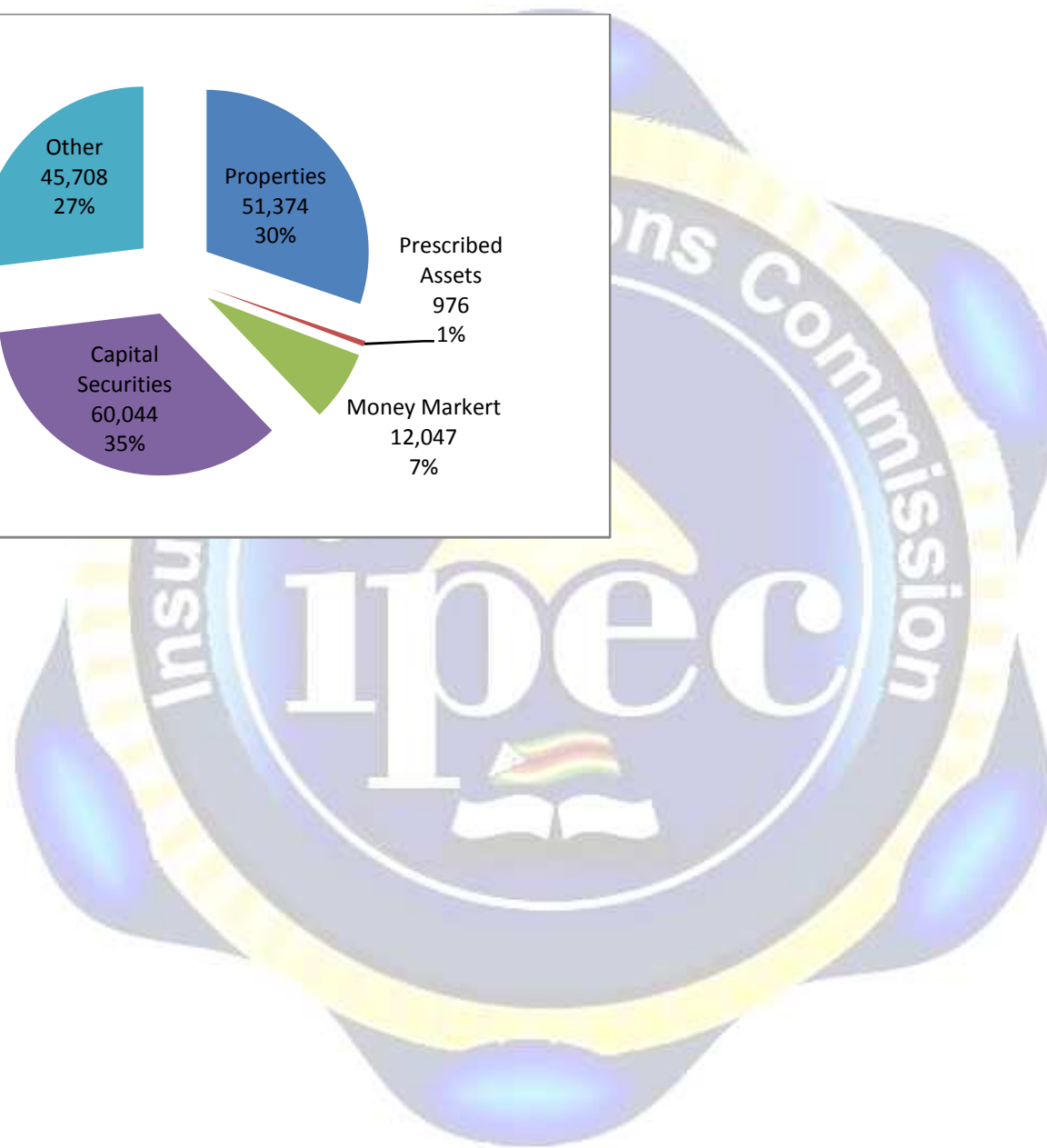
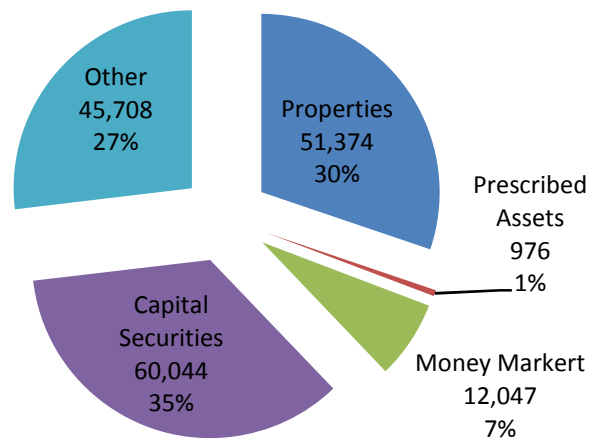
For the current reporting period, insurers held 30% of their assets in property whilst 42% was invested in the money and capital markets with the balance held in other assets and prescribed assets.

The Commission is greatly concerned about the near- lack of investment in statutory assets of 1% as opposed 10% of their total assets. The Commission encourages compliance in this regard to avoid mandatory penalties (See Table 5 and Figure 4, below)

Table 5 : Fund Asset Statistics At Market Value for Insured Self Administered Funds for the half year ended 30 June 2012

Fund Name	Immovable Property(000)			Prescribed Assets(000)			Money Market Securities(000)			Capital Market Securities(000)			Other(000)			Total(000)		
	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth
First Mutual	434	694	60%	10	10	0	49	53	8%	3,434	7,538	120%	5,053	1,522	(70%)	8,980	9,817	9%
Old Mutual	52,115	50,680	(3%)	728	966	33%	9,390	11,994	28%	80,405	52,506	(35%)	8,334	44,186	430%	150,972	160,332	6%
Zimnat Life	0	*	-	0	*	-	392	*	-	560	*	-	44	*	-	996	*	-
Totals	52,549	51,374	(2%)	738	976	32%	9,831	12,047	23%	84,399	60,044	29%	13,431	45,708	240%	160,948	170,149	(6%)

Figure 4 : Fund Assets (000)



SECTION C: FUND ADMINISTRATORS

1.0 The Number of Fund Administrators

This report is based on 88 funds in the books of three administrators (See Table 1,below).Quite a sizeable number of funds falling under administrators did not supply the requisite information.

Table 1 : Fund Administrators

Fund Administrator	31 March 2012	30 June 2012	Increase/Decrease
Aon Consulting	13	13	-
Comarton Consultants	30	30	-
Marsh	*	45	-
TOTALS	43	88	(45)

*Returns not submitted

2.0 Pension Fund Membership

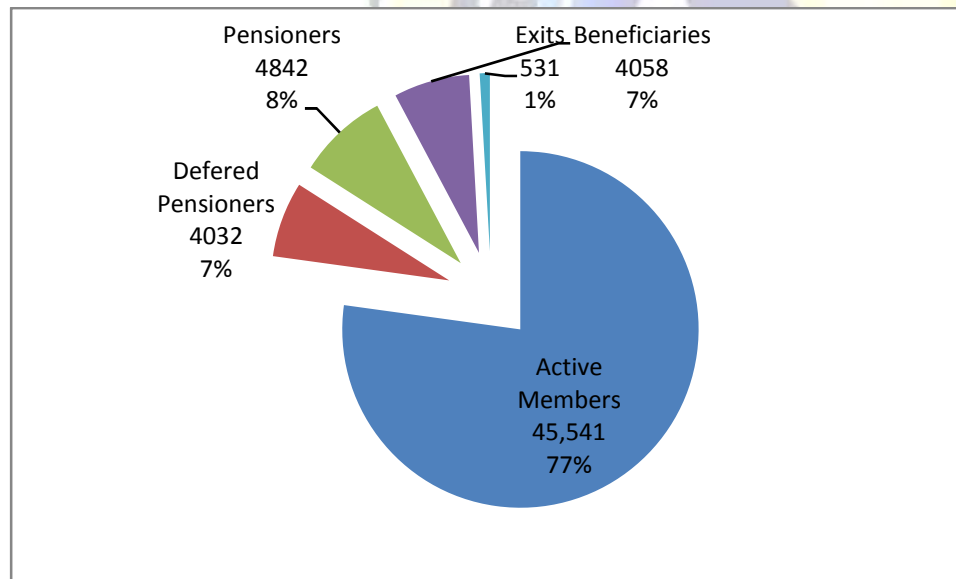
Active membership increased by 61% to close the current reporting period at 46 000 people or 77% of total membership count. The balance was shared between deferred members and beneficiaries equally tied at 7% apiece, former members (8%) and a negligible number of exits. The respective growth rates are misleading as a result of failure to submit first quarter returns by a fund administrator (See Table 2 and figure 1 below).

Table2: Membership for Self Administered Funds for the half year ended 30 June 2012

Administrator	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth
Aon	14713	14938	2%	118	115	(3%)	17	408	2300%	16	711	13%	(215)	(311)	58%	14649	15861	8%
Comarton	13654	16965	24%	1368	944	31%	2007	1766	(12%)	1500	1623	8%	(140)	(76)	(46%)	18389	21222	15%
Marsh	*	13638	-	*	2973	-	*	2668	-	*	1724	-	*	(144)	-	*	20859	-
Totals	28367	45,541	61%	1486	4032	171%	2024	4842	139%	1516	4058	168%	(355)	(531)	50%	33748	59004	75%

*Returns not submitted

Figure 1 : Membership



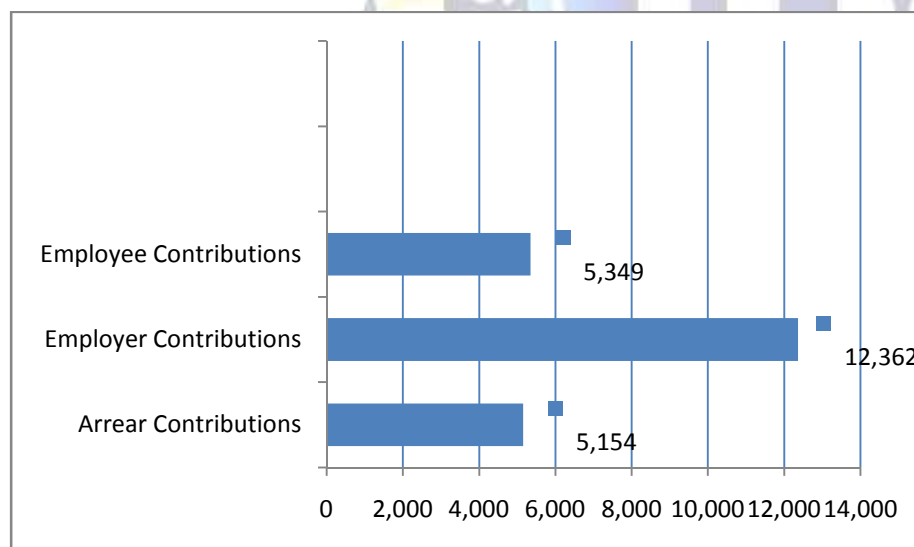
3.0 Contributions

The contribution figures for the half year ended 30 June 2012 were as illustrated in Table 3 and Figure 2 below.

Table 3: Contributions Statistics for Self Administered Funds for the half year ended 30 June 2012

Fund Name	Contributions(000)						Arrear Contributions(000)						Total Contributions(000)		
	Members			Employers			Members			Employers					
	Mar 2012	June 2012	Growth	Mar 2012	June 2012	Growth	Mar 2012	June 2012	Growth	Mar 2012	Jun 2012	Growth	Mar 2012	June2012	Growth
Aon	1,114	1,147	3%	767	5,933	674%	14	15	7%	434	721	66%	2,329	7,816	236%
Comarton	949	960	1%	2,162	1,909	(12%)	515	978	90%	1,047	2,025	93%	4,673	5,872	26%
Marsh	-	3,242	-	-	4,520	-	-	-	-	-	1,415	-	-	9,177	-
Total	2,063	5,349	159%	2,929	12,362	322%	529	993	88%	1,481	4,161	181%	7,002	22,865	267%

Figure 3 : Contributions



Fund members contributed \$5million compared to \$12 million or 54% of total contributions paid by employers. The Commission is however greatly concerned that 23% of total contributions were arrears. Some employers deducted but failed to remit contributions as prescribed by the law. Section 13 of Statutory Instrument 243 of 2006 requires the employer to remit contributions to the fund within 14 calendar days after every month end. The act further states that, "...failure to pay the contributions as prescribed shall render the employer liable to pay the contributions together with interest.

IPEC will continue to engage all stakeholders and requires cooperation from all concerned parties to proactively reverse this scenario. In extreme cases we have resorted to litigation in addition to imposing strict repayment plans or engaging parent ministries in the case of parastatals.

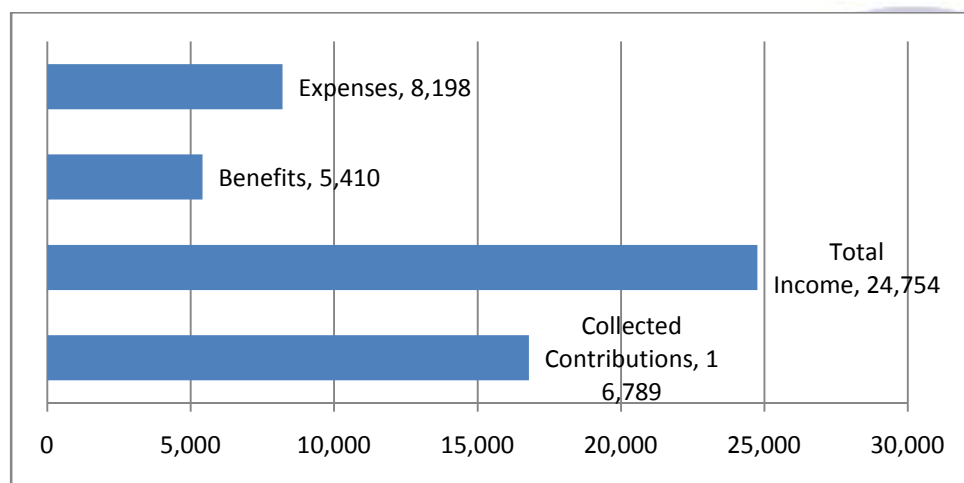
4.0 Income and Expenditure

Income streams in respect of pension administrators grew by 203% to close the current reporting period at \$25million whilst benefits payment increased by 310%. The expense bill escalation by far out-manuevered income growth. The Commission is engaging stakeholders to encourage sustainable expense ratios in order to promote equitable pension fund values for members (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self Administered Funds for the half year ended 30 June 2012

Fund Name	Total Contributions(Excl arrears) (000)			Total Income (000)			Total Paid Benefits(000)			Expenses(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth
Aon	1,858	3,233	74%	4,264	4,198	(2%)	441	908	106%	708	1,625	130%	38%	50%	12%	17%	39%	22%
Comarton	3,134	5,794	85%	3,896	8,599	121%	878	1,612	84%	1,323	3,208	142%	42%	55%	13%	34%	37%	3%
Marsh	*	7,762	-	*	11,957	-	*	2,890	-	*	3,365	-	43%	-	-	*	28%	-
Totals	4,992	16,789	236%	8,160	24,754	203%	1,319	5,410	310%	2,031	8,198	304%	41%	49%	8%	25%	33%	8%

Figure 3: Income and Expenditure \$ (000)



5.0 Fund Assets

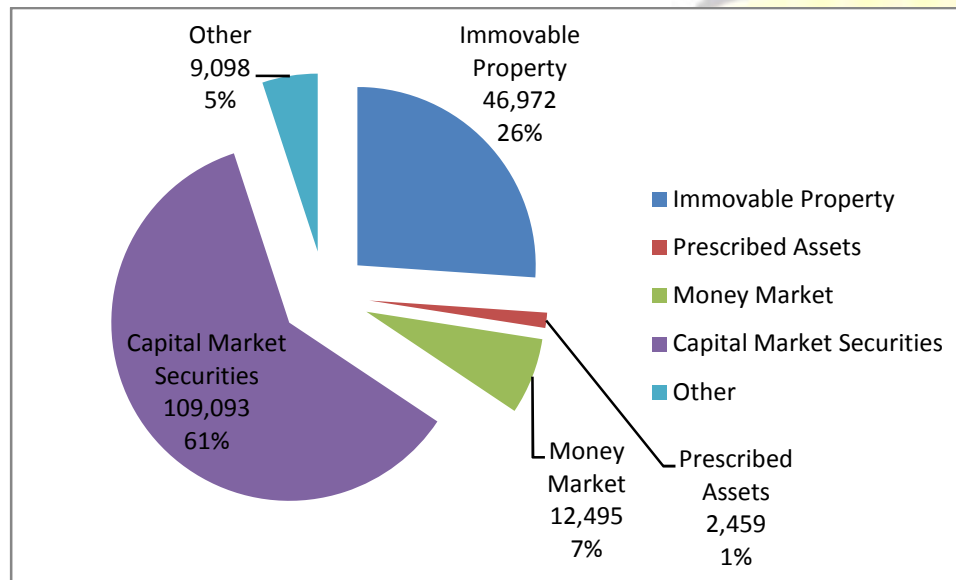
For the quarter ended 30 June 2012, fund administrators invested 26% of their assets in immovable properties, 61% in capital market with the balance staggered in other assets, money market and prescribed assets. The growth rates were compromised by failure to submit returns for the first quarter by one player.

The Commission noted with concern that funds are grossly not compliant in terms of the 10% prescribed asset requirement. The Commission requires compliance in this regard otherwise we will shortly invoke the relevant statutory penalties. (See Table 5 and Figure 4, below)

Table 5 : Fund Asset Statistics At Market Value for Self Administered Funds for the half year ended 30 June 2012

Fund Name	Immovable Property(000)			Prescribed Assets(000)			Money Market Securities(000)			Capital Market Securities(000)			Other(000)			Total(000)		
	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth	March 2012	June 2012	Growth
Aon	3,955	3,938	0	426	200	(53%)	3,342	4,509	35%	13,880	14,619	5%	1,639	1,608	(2%)	23,242	24,874	7%
Comarton	224	55	(75%)	694	419	(40%)	3,378	7,986	136%	43,396	45,482	5%	5,706	0	-	53,398	53,942	1%
Marsh	*	42,979	-	*	1,840	-	*	*	0	*	48,992	-	*	7,490	-	*	101,301	-
Totals	4,179	46,972	1024%	1,120	2,459	120%	6,720	12,495	86%	57,276	109,093	90%	7,345	9,098	24%	76,640	180,117	135%

Figure 4 : Fund Assets (000)



6.0 Legislation Amendments

The proposed amendments to the Pensions and Provident Fund Act Chapter 24:09 is still work in progress and contributions thereof are still welcome.

7.0 Conversion Audit

Following numerous complains by fund members spanning from low pension payouts, inconsistencies in benefit structures, poor corporate governance among others, the Ministry of Finance directed the Commission to carry out the conversion audit which

started during the period under review and is still work in progress. The Commission requires maximum cooperation from administrators by submitting all requested information and documents.

8.0 Onsite Visits

Onsite visits were mainly done via the ongoing conversion audit as alluded earlier. However IPEC may carry out same on any apparently needy cases as prescribed by the law. Other visits which were done were aimed at organizations who had incurred considerably huge contribution arrears particularly Local Authorities Pension Fund.

9.0 Commutations

The Commission has noted a huge influx of commutation requests and appeals. We take this opportunity to confirm that commutations are largely illegal and are statutorily reserved **ONLY** for instances where the monthly pension is less than \$10 per month. Pension funds are designed in a manner which guarantees social security for life rather than a once-off lump sum payment which is reserved for provident funds. The Commission requires fund administrators to educate fund members and only forward requests which perfectly qualify in terms of Circular 4 of 2012.

Conclusion

The Commission is concerned that some pension funds are flouting the law and regulations as well as their fund rules which govern their operation. Good corporate governance must be sustainably deployed in a manner which ensures that the best interests of fund members are religiously safeguarded.

